

Passport

Euromonitor International

Business Dynamics: Colombia

October 2025

List of Contents and Tables

HEADLINES 1
OPERATIONAL and REGULATORY ENVIRONMENT 1
Government intervention and corruption eroding core factors of economic freedom 1
FINANCING and INVESTMENT 2
Colombia's moderate investment freedom and high interest rate limit business growth 2
SKILLS and LABOUR 2
Colombia's labour market showing resilience despite significant structural challenges 2
TRADE and INFRASTRUCTURE 3
Colombia's trade freedom improves, boosting economic integration and logistics sector growth 3
DIGITALISATION and INNOVATION 3
Moderate ranking persists due to infrastructure gaps, lack of access and skills gap 3
OPERATIONAL and REGULATORY ENVIRONMENT 4
Chart 1 Operational and Legal Environment Key Indicators 2024 4
Chart 2 Index of Economic Freedom Ranking by Pillar in Colombia and Regional Comparison 2024 4
Chart 3 Index of Economic Freedom Ranking 2019-2024 5
Chart 4 Index of Economic Freedom: Judicial Effectiveness Pillar Rank in Colombia and Regional Comparison 2019-2024 5
Chart 5 Index of Economic Freedom: Government Integrity Pillar Rank in Colombia and Regional Comparison 2019-2024 6
Chart 6 Corruption Perceptions Ranking: Colombia and Regional Comparison 2019-2024 6
FINANCING and INVESTMENT 7
Chart 7 Key Financial and Investment Indicators 2024 7
Chart 8 Index of Economic Freedom: Property Rights Pillar Rank in Colombia and Regional Comparison 2019-2024 7
Chart 9 Bank Claims on the Private Sector as % of GDP 2019-2024 8
Chart 10 Bank Nonperforming Loans to Total Gross Loans 2019-2024 8
SKILLS and LABOUR 9
Chart 11 Key Skills and Labour Indicators 2024 9
Chart 12 Population Aged 15+ with Higher Education 2019-2024 9
Chart 13 Education Indicators 2024 10
Chart 14 Number of University Graduates by Programme 2024 10
Chart 15 Employment by Age 2024 11
Chart 16 Employment by Gender 2024 11
Chart 17 Youth Unemployment Rate 2019-2024 12
Chart 18 Labour Structure Change 2019-2024 12
Chart 19 Labour Structure Comparison 2024 13
Chart 20 Self-Employed as % of Total Employed Population 2024 13
Chart 21 Index of Economic Freedom: Labour Pillar Rank in Colombia and Regional Comparison 2019-2024 14
Chart 22 Wage per Hour in Manufacturing Sector 2019-2024 14
Chart 23 Labour Market Regulations in Colombia and Regional Comparison 2024 15
TRADE and INFRASTRUCTURE 15
Chart 24 Key Infrastructure Indicators 2024 15
Chart 25 Index of Economic Freedom: Trade Freedom Pillar Rank in Colombia and Regional Comparison 2019-2024 15

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Chart 26 Colombia's Top Four Largest Export Categories 2019-2024 16
Chart 27 Turnover of Transport and Storage Industry by Category in Colombia 2024 16
Chart 28 Transportation Mode Indicators in Colombia and Regional Comparison 2024 17
Chart 29 Road Infrastructure 2024 17
DIGITALISATION and INNOVATION 18
Chart 30 Innovation and Digitalisation Key Indicators 2024 18
Chart 31 Network Readiness Ranking by Pillar in Colombia and Regional Comparison 2024 18
Chart 32 Network Readiness Ranking for Colombia and Regional Comparison 2019-2024 19
Chart 33 Network Readiness Ranking: Technology Pillar for Colombia and Regional Comparison 2019-2024 19
Chart 34 Intellectual Property: Colombia Compared to Selected Regional Peers 2024 20
APPENDIX A 20
The 2024 index of economic freedom 20
APPENDIX B 22
The network readiness index (nri) 2024 22

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Business Dynamics: Colombia

Colombia's economic environment showed mixed trends from 2019 to 2024, with a decline in economic freedom and business efficiency, despite a 64.7% improvement in business confidence. In addition, the country's financial sector remained stable, but high interest rates and low job vacancies hindered investment and growth. Furthermore, digitalisation and trade freedom improved, but significant challenges in labour market flexibility and infrastructure persisted.

HEADLINES

- Colombia ranked 84th out of 184 countries in the Index of Economic Freedom (IEF) ranking 2024, struggling with the Tax Burden Ranking and Property Rights Ranking pillars
- Over 2019-2024, Colombia’s stock market index contracted by -13.8%, reaching 83.0. In 2024, there were 60 domestic companies listed in the country
- As of 2024, the central bank policy rate in Colombia stood at 9.5%, preventing more effective access to financing for businesses
- The unemployment rate in Colombia stood at 10.2% in 2024, while the country’s position in the Labour pillar (IEF) worsened during the year, declining to 48th position
- The country stands 83rd in the Trade Freedom pillar (IEF), suggesting moderate trade limitations, including moderate tariffs and non-tariff barriers
- Colombia ranked 64th in the Network Readiness Index (NRI) 2024, indicating moderate potential for digital innovations

OPERATIONAL and REGULATORY ENVIRONMENT

Government intervention and corruption eroding core factors of economic freedom

Over 2019-2024, Colombia's operational and regulatory environment exhibited mixed trends, reflecting the broader challenges and opportunities within Latin America. The country's position in the Index of Economic Freedom Ranking 2024 deteriorated to 84th out of 184 countries globally, primarily due to its poor performance in the Tax Burden Ranking and Property Rights Ranking pillars. Colombia's decline to 84th is primarily attributed to increased government interventions, political uncertainties and challenges within its regulatory environment, which have collectively undermined economic freedoms. The main causes include an increase in statist policies, political interference in the judicial system, corruption and a higher burden of regulations that impact property rights, fiscal health and labour markets. Despite these setbacks, the Business Confidence Index in Colombia improved by 64.7% in 2024, indicating a temporary boost in optimism among business leaders. However, this positive sentiment is projected to reverse sharply, with a forecast 271% decline in the upcoming year, suggesting a significant erosion of confidence. The region's operational landscape in 2024 was characterised by issues such as inflation, currency instability and complex government regulations

The Business Freedom Ranking (IEF) also regressed over the same period, highlighting the dropping efficiency in starting, operating and closing businesses in Colombia. Despite this, the number of new businesses opened grew by 5.4% over three years to 2024, with new business density slightly increasing to 2.2. This growth in new businesses, despite the worsening regulatory environment, suggests a resilient entrepreneurial spirit and potential opportunities in sectors such as manufacturing and logistics, driven by the region's push towards nearshoring and diversifying supply chains. Over 2024-2029, the number of new businesses is forecast to continue growing, albeit at a slower pace, as the country works to address

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regulatory inefficiencies and improve infrastructure. Additionally, Colombia's position in the Judicial Effectiveness Ranking improved to 64th globally over 2019-2024, indicating some progress in legal reforms. However, the country's struggle with corruption, as evidenced by its 92nd ranking out of 180 countries in the Corruption Perceptions Index in 2024, remains a significant barrier to sustained economic growth and business confidence.

FINANCING and INVESTMENT

Colombia's moderate investment freedom and high interest rate limit business growth

In 2024, Colombia ranked 38th globally in the Investment Freedom pillar (IEF), indicating relatively low constraints on the flow of investment capital. Colombia's financing and investment environment presented a mixed landscape characterised by significant regulatory hurdles, contrasted with a thriving financial technology (fintech) sector and substantial support from multilateral organisations for strategic development projects. The country's Financial Freedom Ranking remained unchanged at 17th, reflecting a stable financial sector with banking efficiency and independence from the government that continued to support businesses' access to a free and fair financial market. However, Colombia's interest rate stood at 9.5%, one of the highest in the region, which pointed to less favourable lending conditions and potentially higher costs for businesses and individuals seeking credit. Bank claims on the private sector in Colombia were 0.4% of GDP in 2024, aligning with the Latin American and global averages, and indicating a low level of indebtedness among the private sector. This low indebtedness, coupled with the high interest rates, suggests a cautious approach to borrowing and lending, which may have contributed to the stability of the financial sector but also limited the growth of investment and business expansion.

During 2024, Colombia received USD16.8 billion in foreign direct investment (FDI), accounting for 4.6% of the country's total GDP. Despite this, the FDI intensity was lower compared to regional peers, which may be attributed to the higher interest rates and the region's broader economic challenges, such as elevated domestic and global inflation and stringent monetary policies. The contraction of Colombia's stock market index to 83.0 over 2019-2024, alongside a decrease in the number of domestically listed companies to 60.0 in 2024, reflects a period of economic uncertainty and reduced investor confidence. Over 2024-2029, the region's increasing middle class and the expansion of the digital economy, particularly in fintech and e-commerce, are forecast to draw more venture capital and private equity. This trend could potentially invigorate Colombia's financial sector, encouraging greater investment and innovation, especially if the country implements policies to reduce interest rates and improve lending conditions.

SKILLS and LABOUR

Colombia's labour market showing resilience despite significant structural challenges

In 2024, Colombia's ranking in the Labour Freedom pillar of the Index of Economic Freedom (IEF) deteriorated, placing the country 48th globally. Colombia's labour market demonstrated resilience but also faced significant structural challenges. While employment grew and some progress was made in job formalisation, the market was characterised by a high unemployment rate, persistent informality and a notable mismatch between available skills and employer demands. The government introduced several initiatives aimed at improving education and addressing these long-standing issues. Despite these regulatory challenges, the employment rate in Colombia increased from 57.8% to 58.6% of the working-age population over the 2019-2024 period, indicating a modest improvement in overall labour market participation. However, youth unemployment remained stubbornly high at 20.3% in 2024, nearly double the national average, underscoring the persistent skills shortages among young workers. The real

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minimum hourly wage in Colombia also decreased by 4.9% over the year, reaching USD1.7 in 2024, a trend that aligns with the broader regional context where wage increases often failed to keep pace with inflation, thereby eroding real earnings.

Over the forecast period from 2024 to 2029, the demand for highly skilled labour in Colombia is expected to continue rising, driven by the increasing importance of technology and the advent of AI. Despite a 6.7% increase in the number of science graduates over 2019-2024, the country still faces significant skills shortages, which are likely to persist and potentially worsen. Worker productivity, which shrank by 0.2% in 2024, suggests a lack of investment in skills development and technological advancements. The absence of job vacancies in 2024, with a ratio of zero job vacancies per one unemployed person, further indicates a slow and underdeveloped labour market. These trends highlight the need for comprehensive policy reforms to enhance labour market flexibility, improve skills training, and foster technological innovation, which are crucial for addressing the skills gap and boosting productivity in the coming years.

TRADE and INFRASTRUCTURE

Colombia's trade freedom improves, boosting economic integration and logistics sector growth

In 2024, Colombia's Trade Freedom Ranking, as measured by the Index of Economic Freedom (IEF), improved from 91st position in 2019 to 83rd, reflecting a decline in trade-weighted average tariff rates and non-tariff barriers (NTBs). Colombia's improvement in trade and infrastructure was driven by trade liberalisation initiatives, regional integration efforts, investments in transport and digital infrastructure, and regulatory reforms. These measures collectively enhanced connectivity, reduced costs and fostered a more conducive environment for economic activity. Colombia's reliance on exports remained relatively low, accounting for only 11.8% of its GDP in 2024. The primary driver of Colombia's exports was mineral products, which constituted 50.9% of the country's total exports. This heavy dependence on mineral products underscores the need for diversification to mitigate risks associated with commodity price volatility and global demand fluctuations.

In 2024, the transport and storage industry turnover in Colombia reached USD46.9 billion, with road passenger and freight transport leading the industry's growth. Road freight traffic grew by 3.9% and stood at 119 billion million net tonne-kilometres. These figures indicate a robust expansion in the logistics sector, driven by increasing domestic demand and the need for efficient transport networks to support economic activities. However, the region's vulnerability to extreme weather events, such as droughts and hurricanes, which significantly disrupted trade and infrastructure in Latin America in 2024, likely posed challenges to Colombia's transport systems and export capacities. Despite these disruptions, the trend towards nearshoring, or strengthening local supply chains, which favoured nations such as Mexico, may have encouraged some investment in upgrading ports, border facilities and infrastructure linked to manufacturing in Colombia. Over 2024-2029, continued investment in infrastructure and further reduction of trade barriers are forecast to enhance Colombia's economic competitiveness and facilitate greater regional trade integration.

DIGITALISATION and INNOVATION

Moderate ranking persists due to infrastructure gaps, lack of access and skills gap

In 2024, Colombia ranked 64th out of 133 countries globally in the Network Readiness Index (NRI), reflecting a moderate level of digitalisation and innovation. Despite improvements, Colombia still faces

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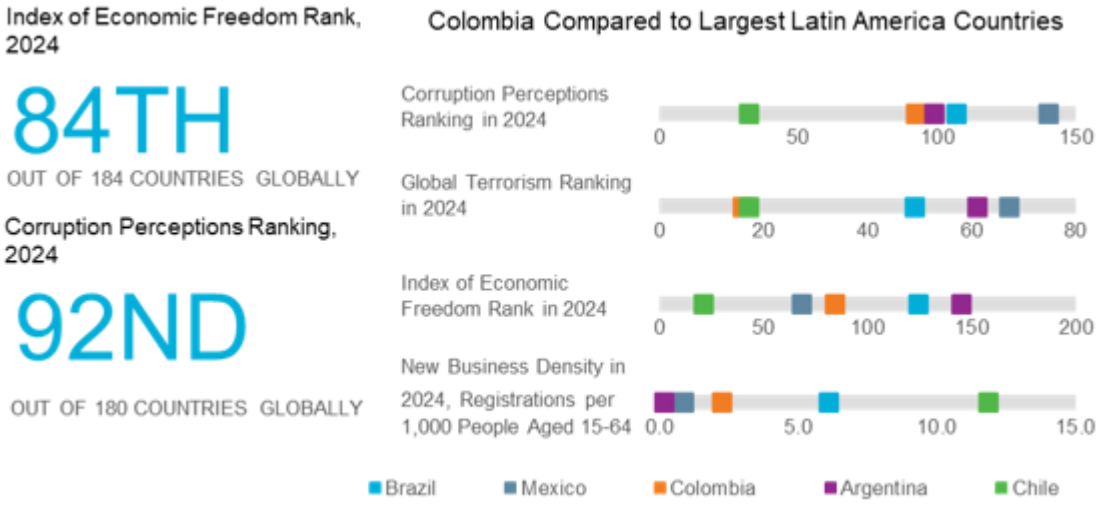
gaps in digital infrastructure, especially in rural and underserved areas. Limited broadband coverage and high connectivity costs hinder widespread access to digital services. Digital inclusion policies are underway but are not yet sufficiently broad to bridge the skills gap and enhance widespread adoption. Digital transformation of government services has progressed, but inefficiencies and limited integration across agencies reduce overall effectiveness. The country's best performance was in the People and Governance pillars, where it ranked 76th and 70th, respectively. This suggests that while Colombia has made strides in integrating digital technologies into daily life and governance, there are still significant areas for improvement, particularly in the safety and regulatory frameworks supporting the network economy. The solid performance in the Impact pillar indicates that digitalisation has had a strong economic, social and human impact, which is crucial for a country's participation in the network economy. However, the high position in the Governance pillar paradoxically suggests a lack of robust regulatory measures to ensure the security and active promotion of digital participation, which could hinder further progress.

As of 2024, 66.1% of Colombian households had access to the internet, and 93.8 in 100 people had access to mobile internet. These figures highlight a significant digital divide, as access to the internet is not universal, and the disparity between household and mobile internet access suggests varying levels of digital engagement. Business usage of the internet also remains low by global standards, with only 85.2% of businesses placing orders online and 79.7% receiving orders via the internet. Over 2024-2029, the digital transformation in Colombia is forecast to accelerate, driven by the region's increasing middle class and heightened price awareness, which promote the adoption of online tools. Governments and businesses are expected to prioritise investments in digital infrastructure and skills, although digital inequalities are likely to persist. Efforts to strengthen local supply chains and the evolving regulatory frameworks for emerging technologies such as AI and digital assets will play a crucial role in this transformation, potentially bridging the gap between current low business usage and the global standards.

OPERATIONAL and REGULATORY ENVIRONMENT

Chart 1 Operational and Legal Environment Key Indicators 2024

Source: Euromonitor International from The Heritage Foundation, Transparency International, World Bank, Institute for Economics and Peace

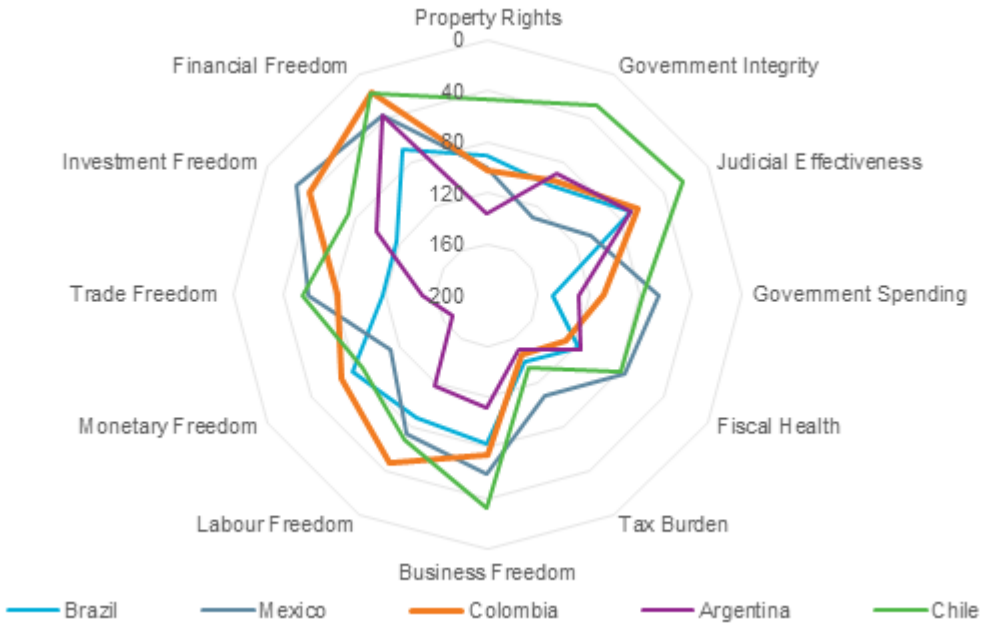


Note: Index of Economic Freedom ranks a country out of 184; Corruption Perceptions Index ranks 180 countries with the worst-performing country ranked at the bottom, Global Terrorism Index ranks 163 countries with the highest risk country ranked first

Chart 2 Index of Economic Freedom Ranking by Pillar in Colombia and Regional Comparison 2024

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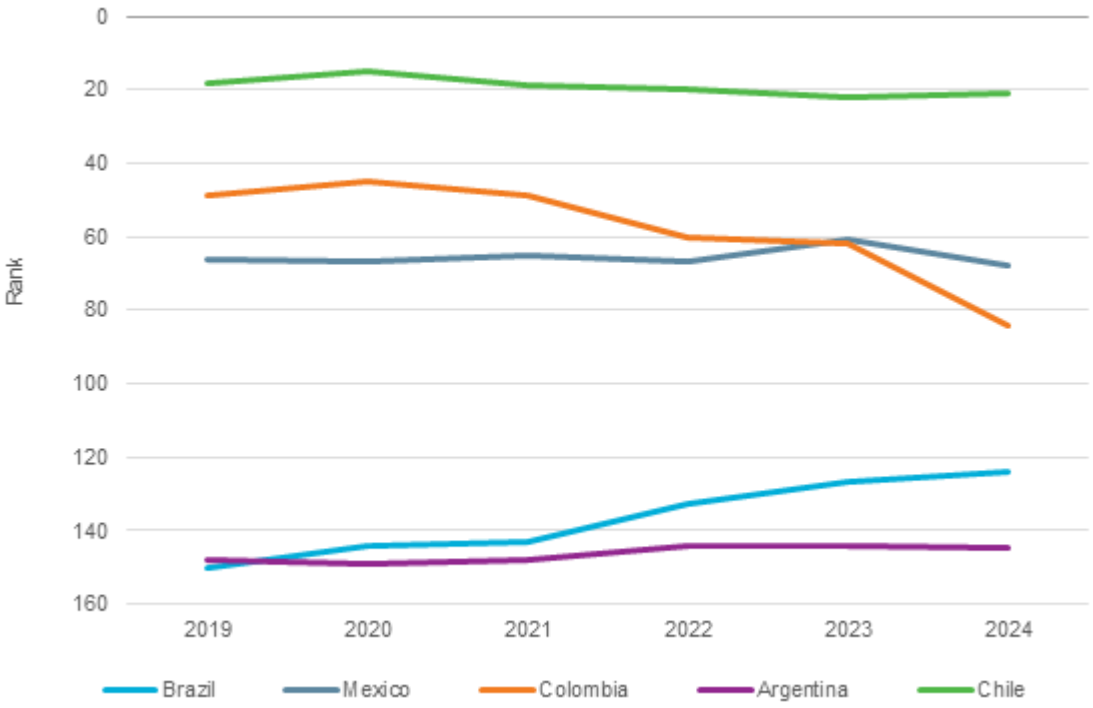
Source: Euromonitor International from The Heritage Foundation



Note: The Index of Economic Freedom ranks a country out of 184 economies, see Appendix A

Chart 3 Index of Economic Freedom Ranking 2019-2024

Source: Euromonitor International from The Heritage Foundation

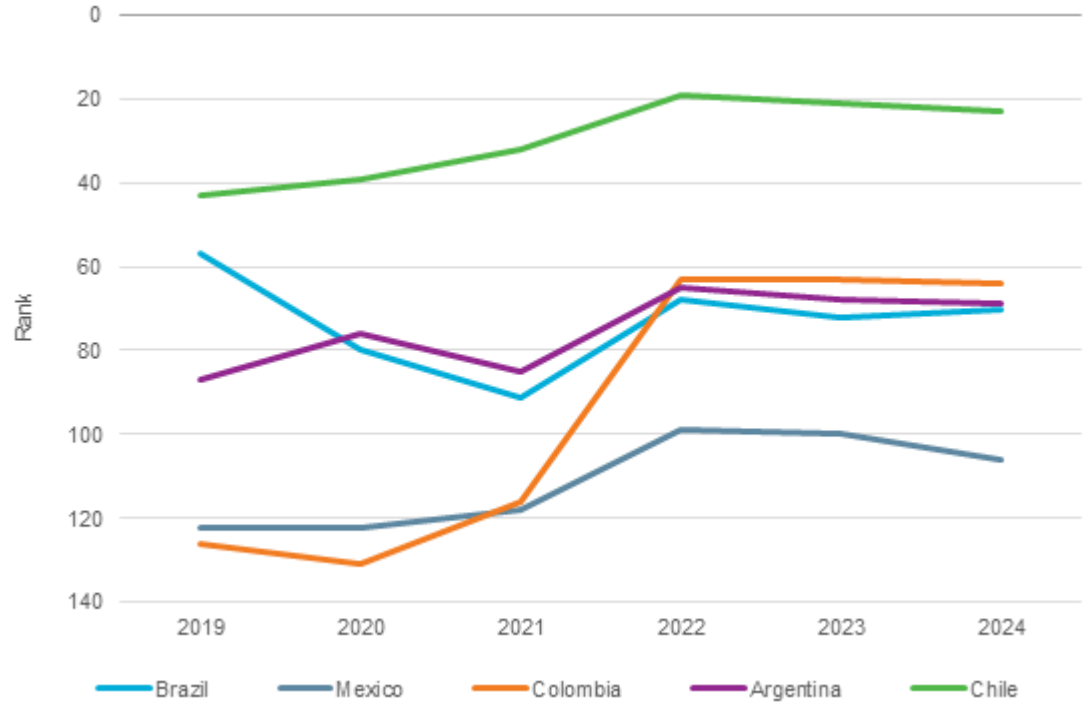


Note: The Index of Economic Freedom ranks a country out of 184 economies, see Appendix A

Chart 4 Index of Economic Freedom: Judicial Effectiveness Pillar Rank in Colombia and Regional Comparison 2019-2024

Source: Euromonitor International from The Heritage Foundation

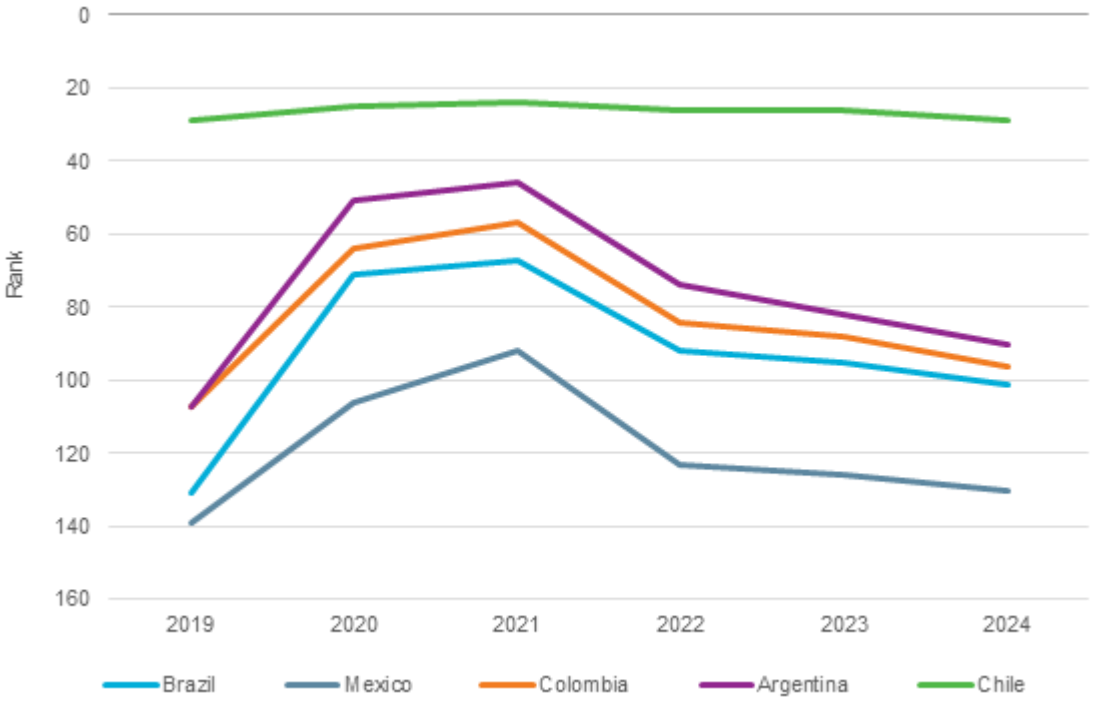
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Note: Judicial Effectiveness Pillar (Index of Economic Freedom) measures judicial independence, quality of the judicial process and favouritism in decisions of government officials, and ranks a country out of 184 economies, see Appendix A

Chart 5 Index of Economic Freedom: Government Integrity Pillar Rank in Colombia and Regional Comparison 2019-2024

Source: Euromonitor International from The Heritage Foundation

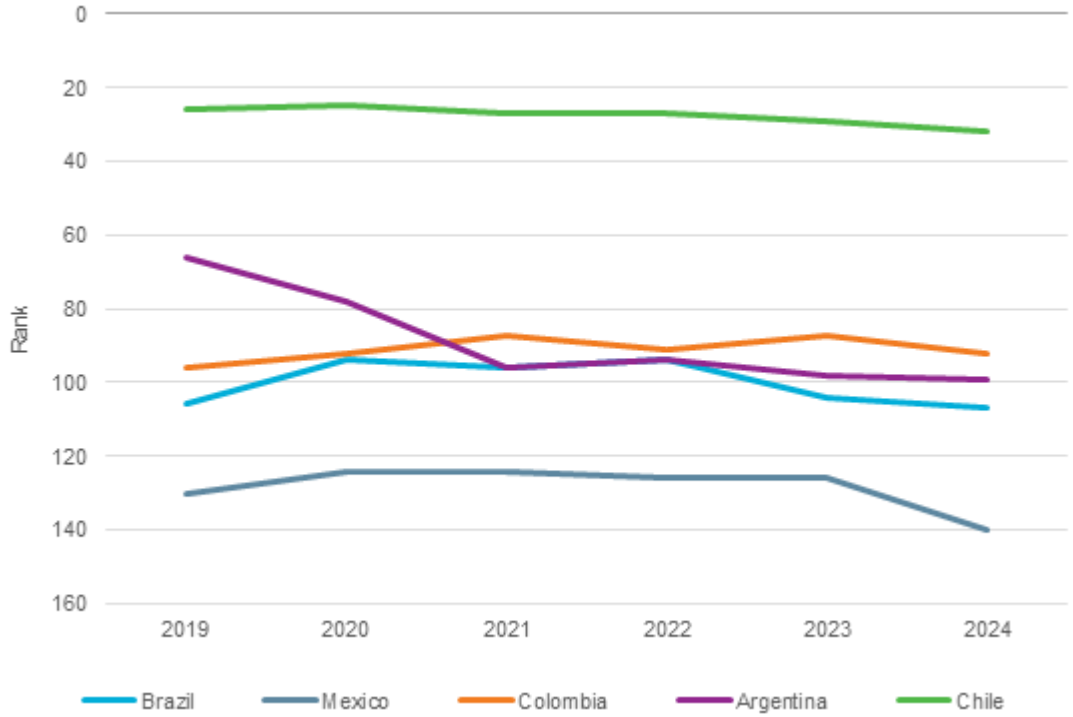


Note: Government Integrity Pillar (Index of Economic Freedom) measures public trust in politicians, irregular payments and bribes, transparency of government policy making, etc, and ranks a country out of 184 economies, see Appendix A

Chart 6 Corruption Perceptions Ranking: Colombia and Regional Comparison 2019-2024

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Source: Euromonitor International from Transparency International



Note: Corruption Perceptions Index ranks 180 countries with the worst-performing country ranked at the bottom

FINANCING and INVESTMENT

Chart 7 Key Financial and Investment Indicators 2024

Source: Euromonitor International from International Monetary Fund (IMF), International Financial Statistics

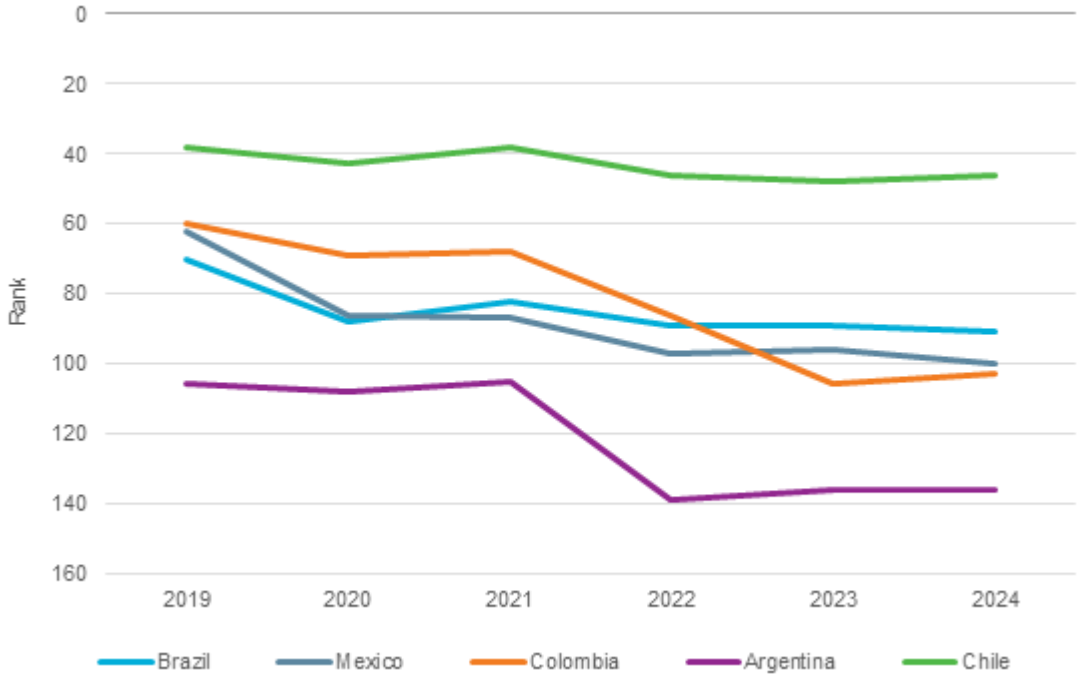


Note: Commercial Bank Availability measures branches per 100,000 adults

Chart 8 Index of Economic Freedom: Property Rights Pillar Rank in Colombia and Regional Comparison 2019-2024

Source: Euromonitor International from The Heritage Foundation

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Note: Property Rights Pillar (Index of Economic Freedom) measures the property rights component that assesses the extent to which a country's legal framework allows individuals to acquire, hold and utilise private property, secured by clear laws that the government enforces effectively in 184 countries globally, see Appendix A

Chart 9 Bank Claims on the Private Sector as % of GDP 2019-2024

Source: Euromonitor International from International Monetary Fund (IMF), International Financial Statistics

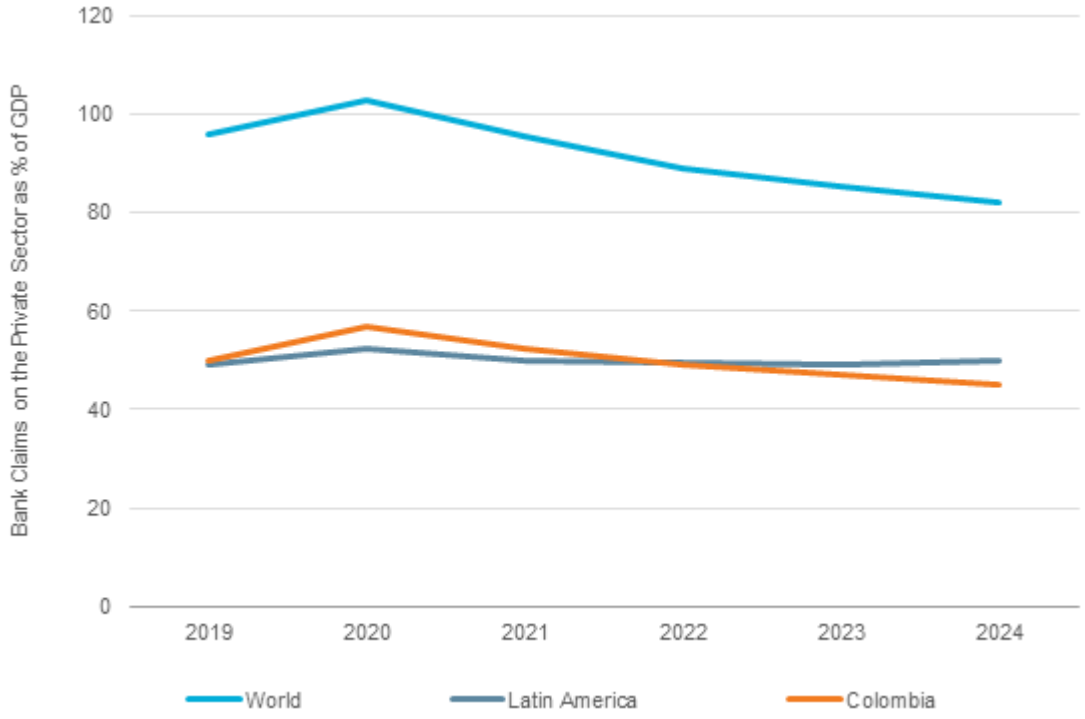
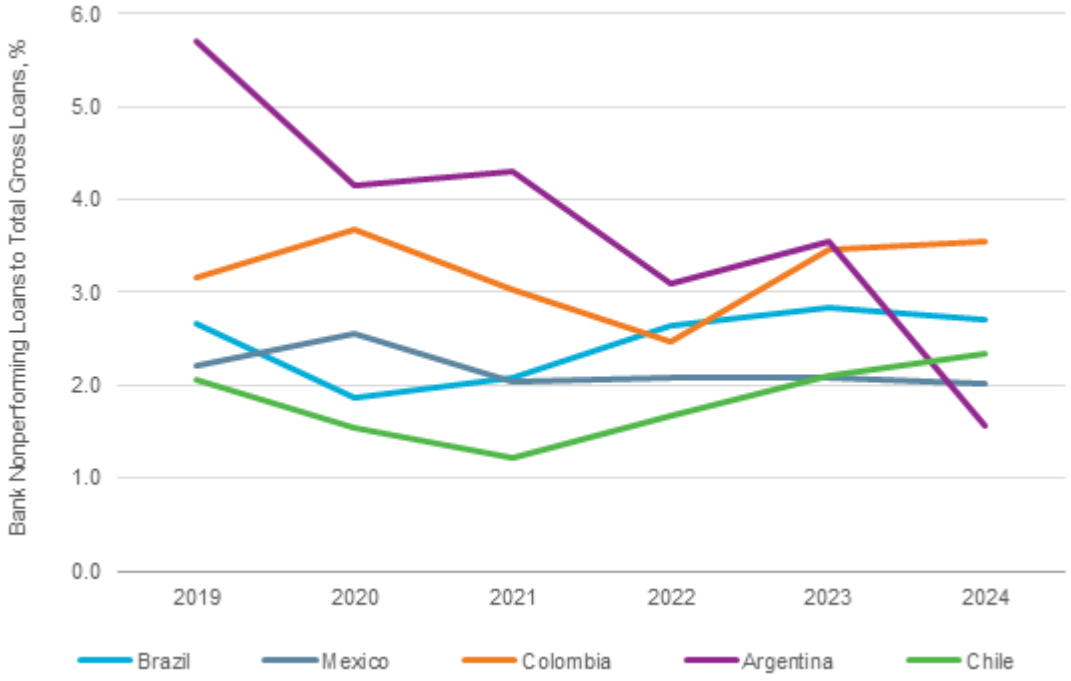


Chart 10 Bank Nonperforming Loans to Total Gross Loans 2019-2024

Source: Euromonitor International from World Bank

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BUSINESS DYNAMICS: COLOMBIA



SKILLS and LABOUR

Chart 11 Key Skills and Labour Indicators 2024

Source: Euromonitor International from UNESCO/national statistics/UN/International Labour Organization (ILO), UNDP, Euromonitor International from World Economic Forum



Chart 12 Population Aged 15+ with Higher Education 2019-2024

Source: Euromonitor International from national statistics/UN

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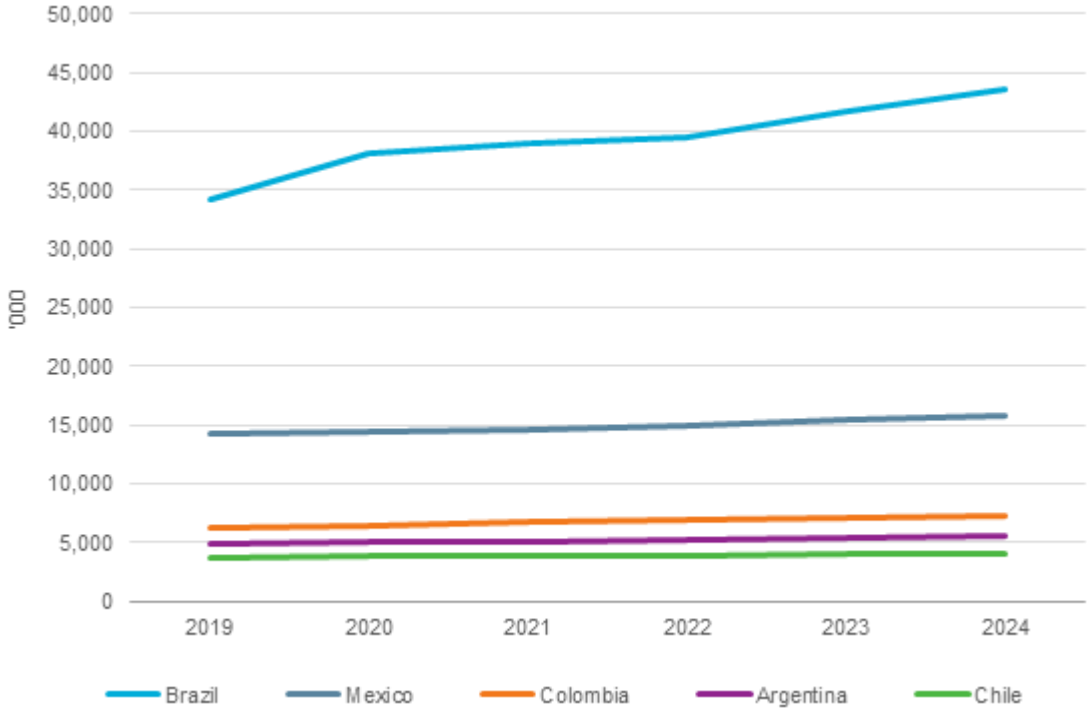


Chart 13 Education Indicators 2024

Source: Euromonitor International from UNESCO/Eurostat/OECD/national statistics

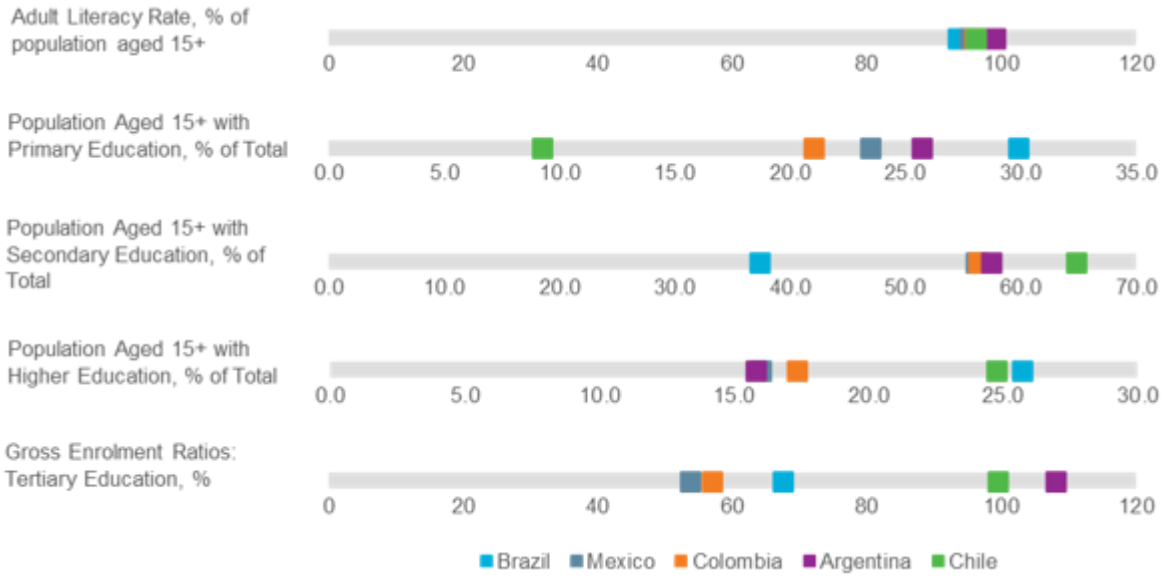


Chart 14 Number of University Graduates by Programme 2024

Source: Euromonitor International from national statistics/Eurostat/UNESCO/OECD

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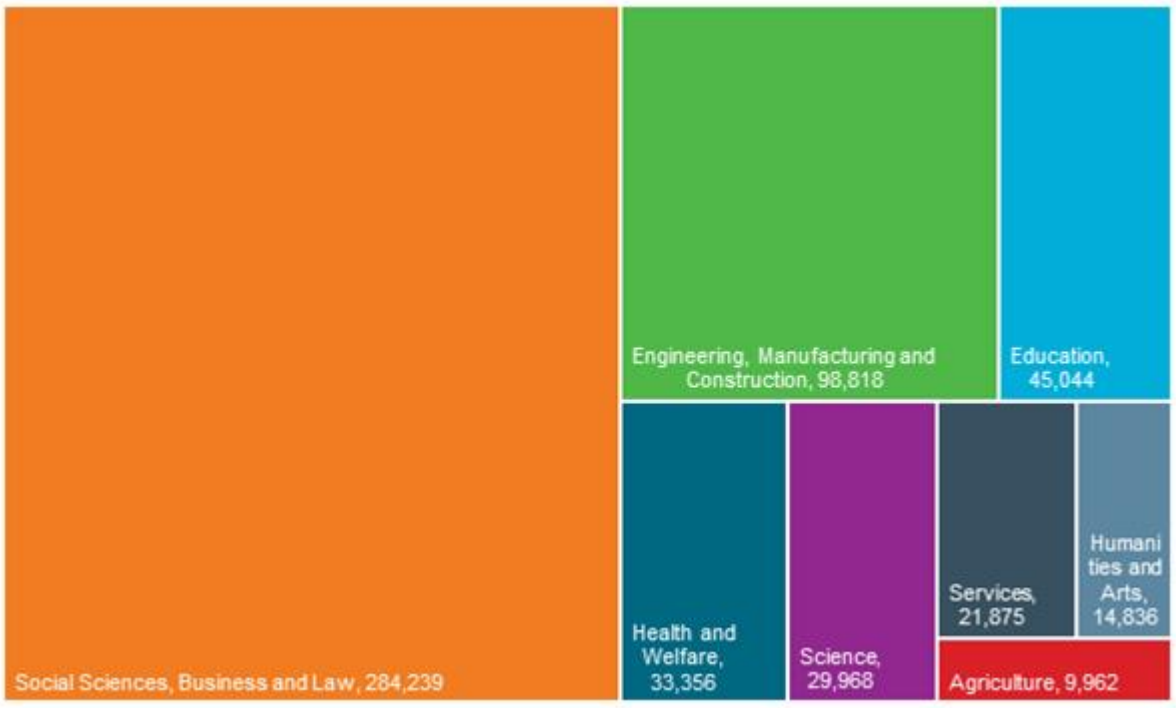


Chart 15 Employment by Age 2024

Source: Euromonitor International from International Labour Organization (ILO)/Eurostat/national statistics

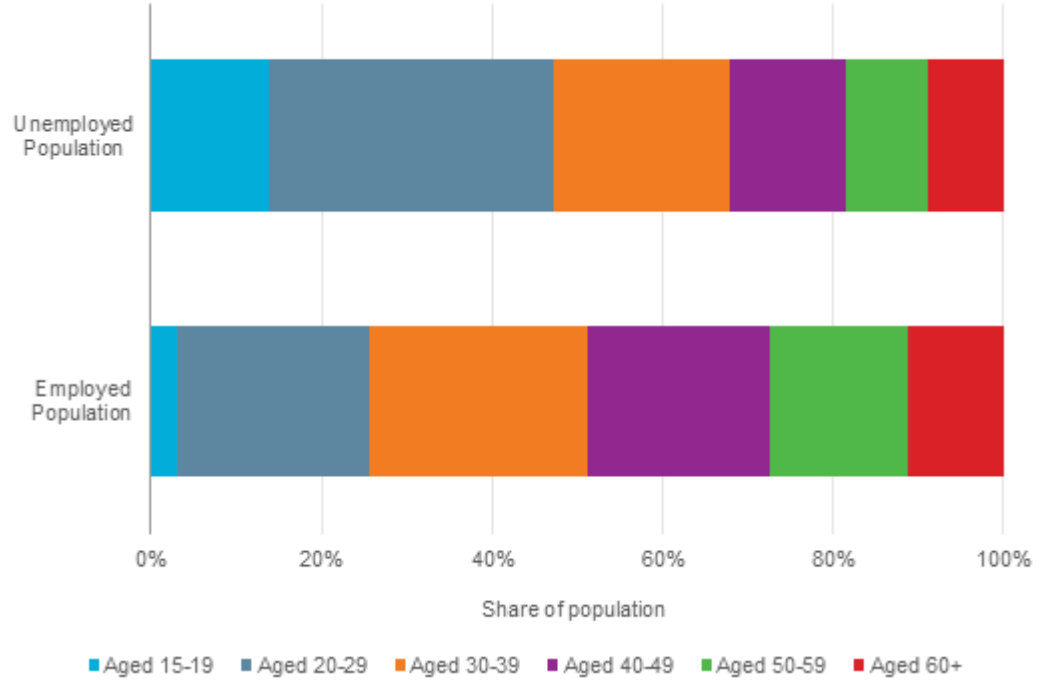


Chart 16 Employment by Gender 2024

Source: Euromonitor International from International Labour Organization (ILO)/Eurostat/national statistics

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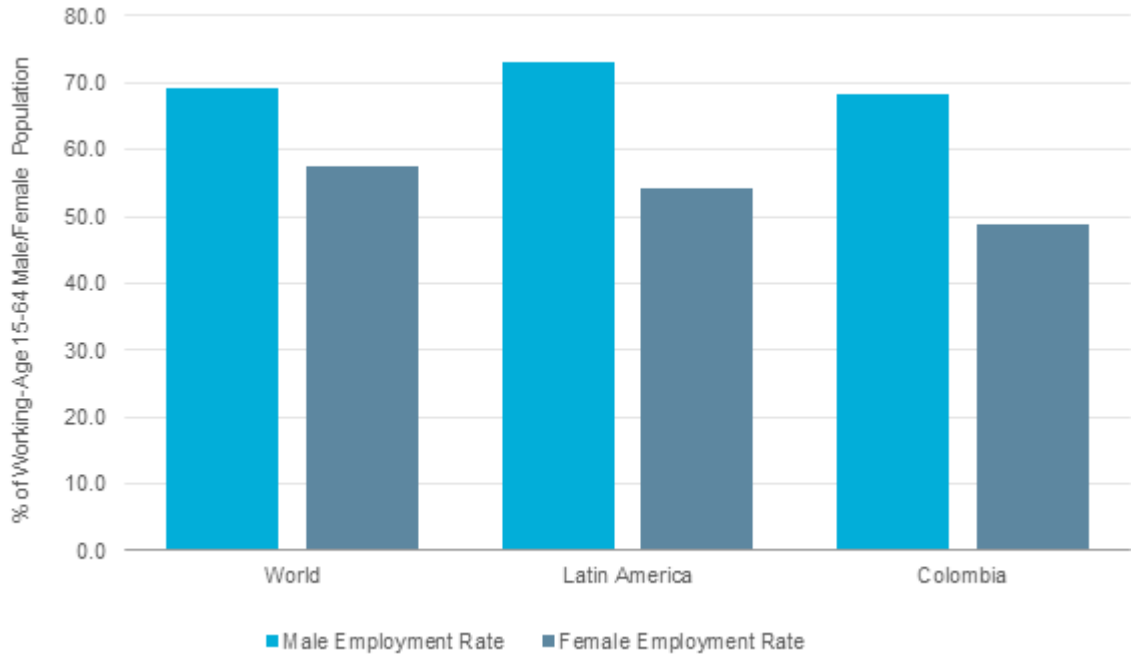


Chart 17 Youth Unemployment Rate 2019-2024

Source: Euromonitor International from International Labour Organization (ILO)/Eurostat/national statistics

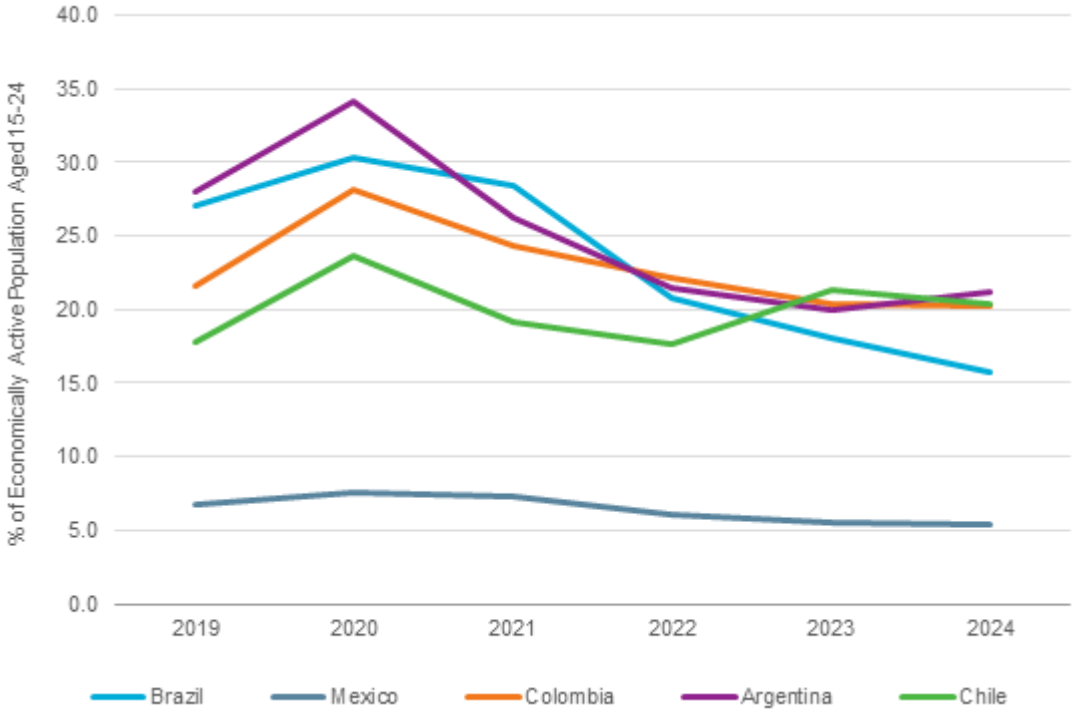


Chart 18 Labour Structure Change 2019-2024

Source: Euromonitor International from International Labour Organization (ILO)/Eurostat/national statistics

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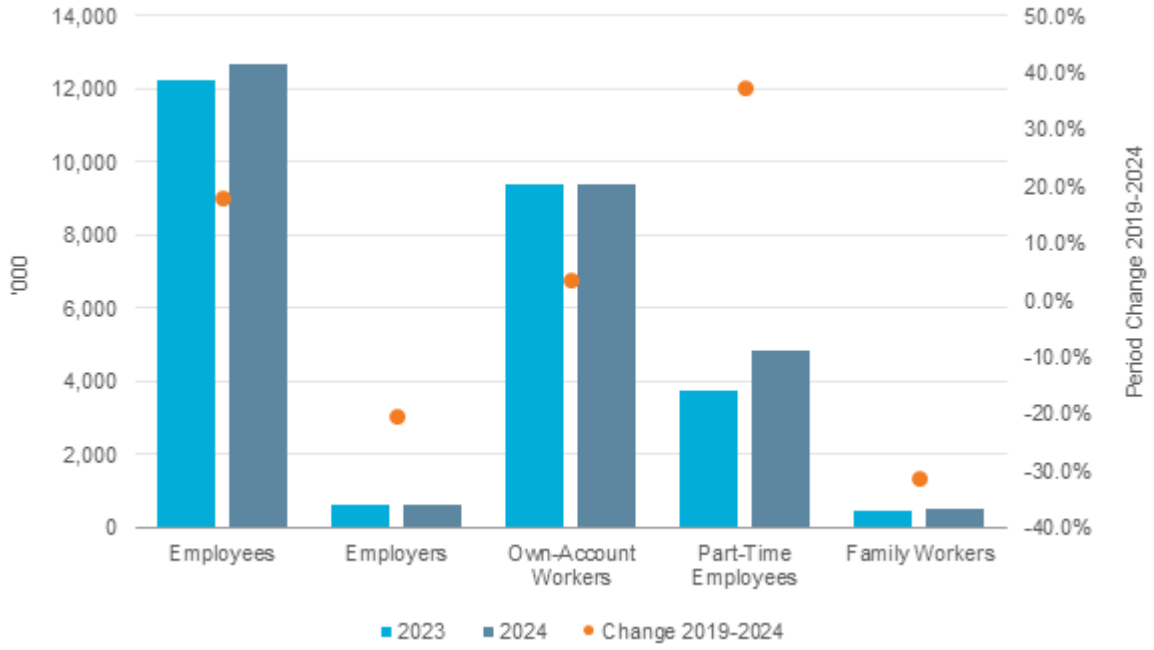


Chart 19 Labour Structure Comparison 2024

Source: Euromonitor International from International Labour Organization (ILO)/Eurostat/national statistics

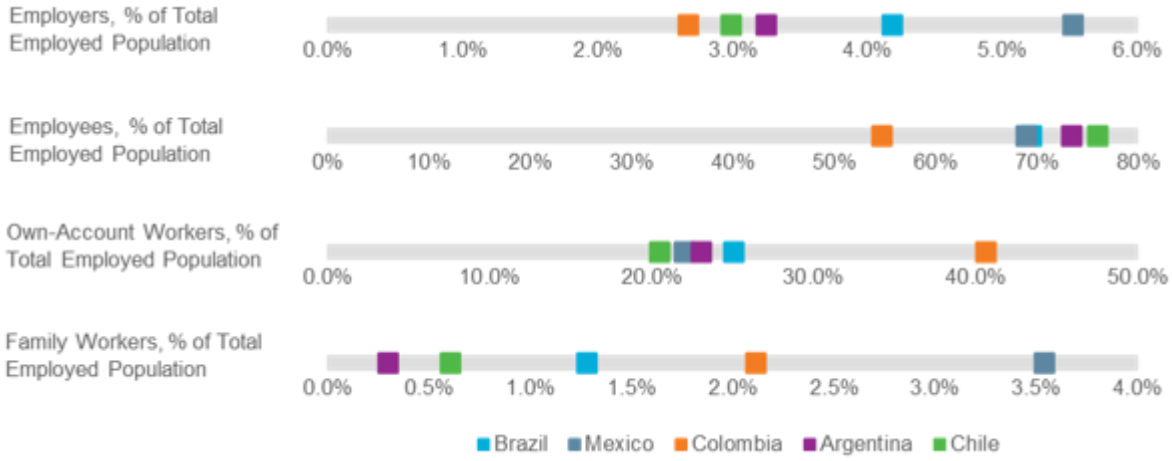


Chart 20 Self-Employed as % of Total Employed Population 2024

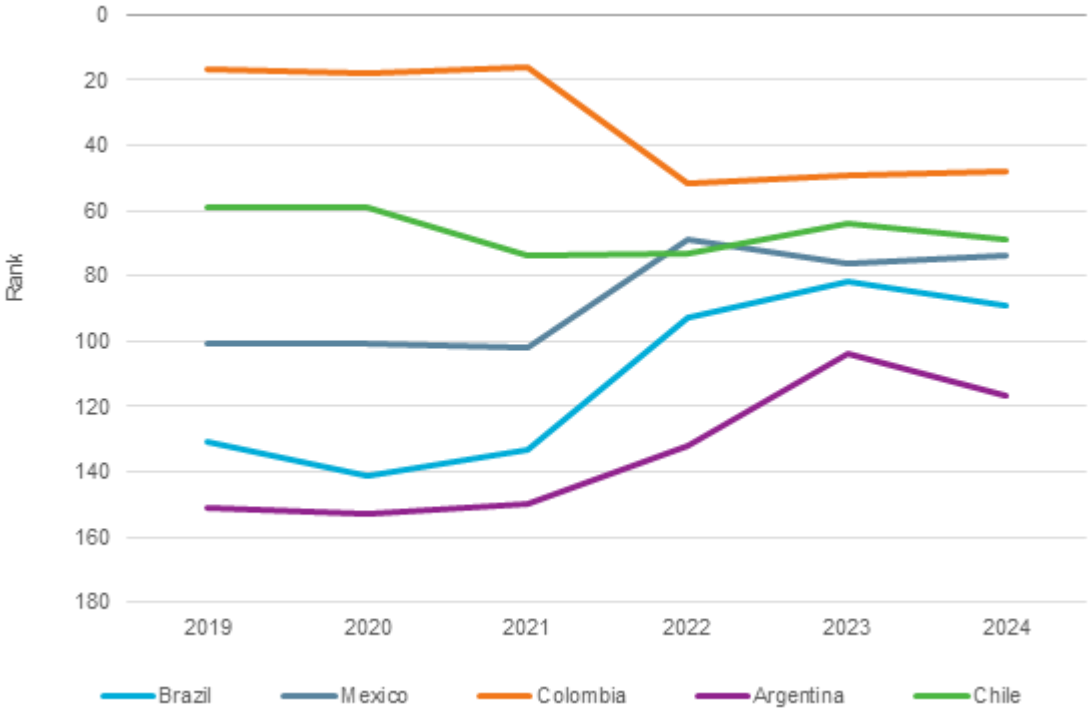
Source: Euromonitor International from International Labour Organization (ILO)/Eurostat/national statistics



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Chart 21 Index of Economic Freedom: Labour Pillar Rank in Colombia and Regional Comparison 2019-2024

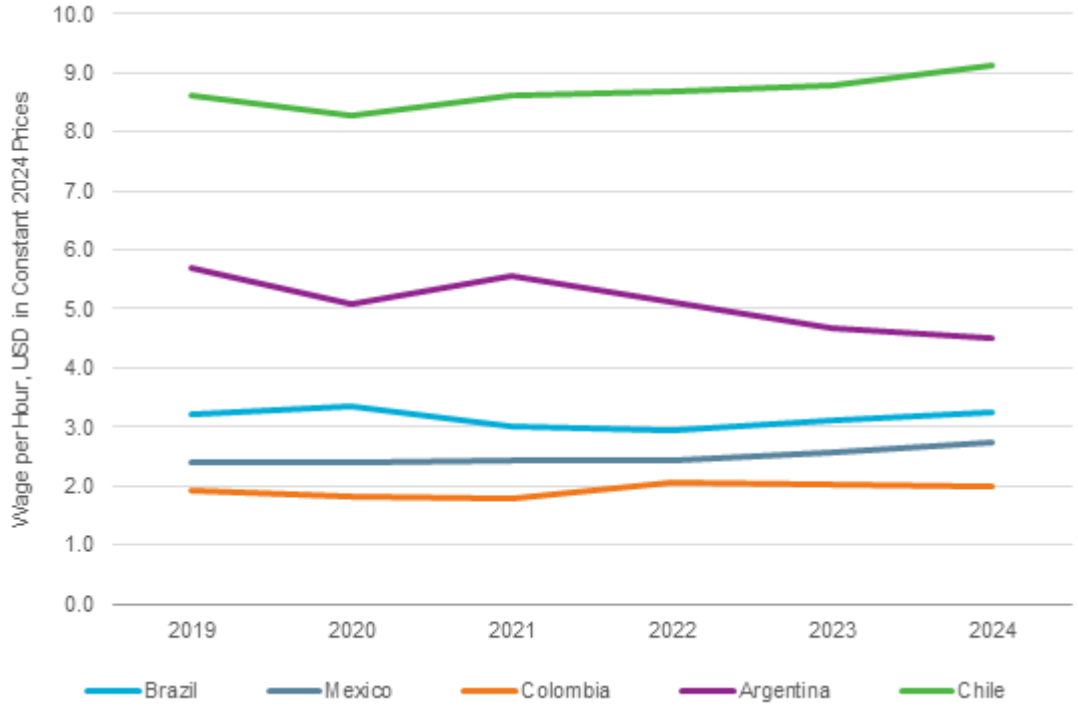
Source: Euromonitor International from The Heritage Foundation



Note: Labour Pillar (Index of Economic Freedom) measures various aspects of the legal and regulatory framework of a country's labour market, including regulations concerning minimum wages, laws inhibiting layoffs among 184 countries globally, see Appendix A

Chart 22 Wage per Hour in Manufacturing Sector 2019-2024

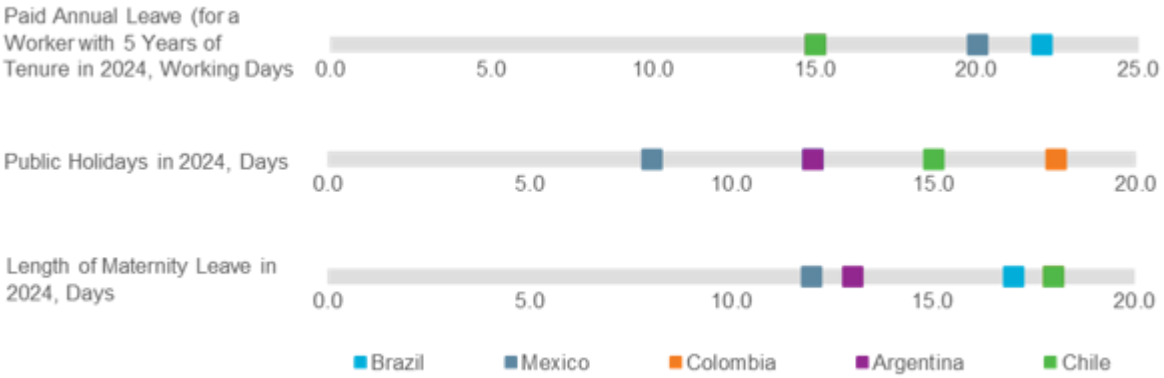
Source: Euromonitor International from International Labour Organization (ILO)/Eurostat/national statistics



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Chart 23 Labour Market Regulations in Colombia and Regional Comparison 2024

Source: Euromonitor International from World Bank/International Labour Organization (ILO)/UN



TRADE and INFRASTRUCTURE

Chart 24 Key Infrastructure Indicators 2024

Source: Euromonitor International from International Road Federation (IRF)/International Union of Railways (IUC)/UN/Eurostat/ national statistics/World Bank

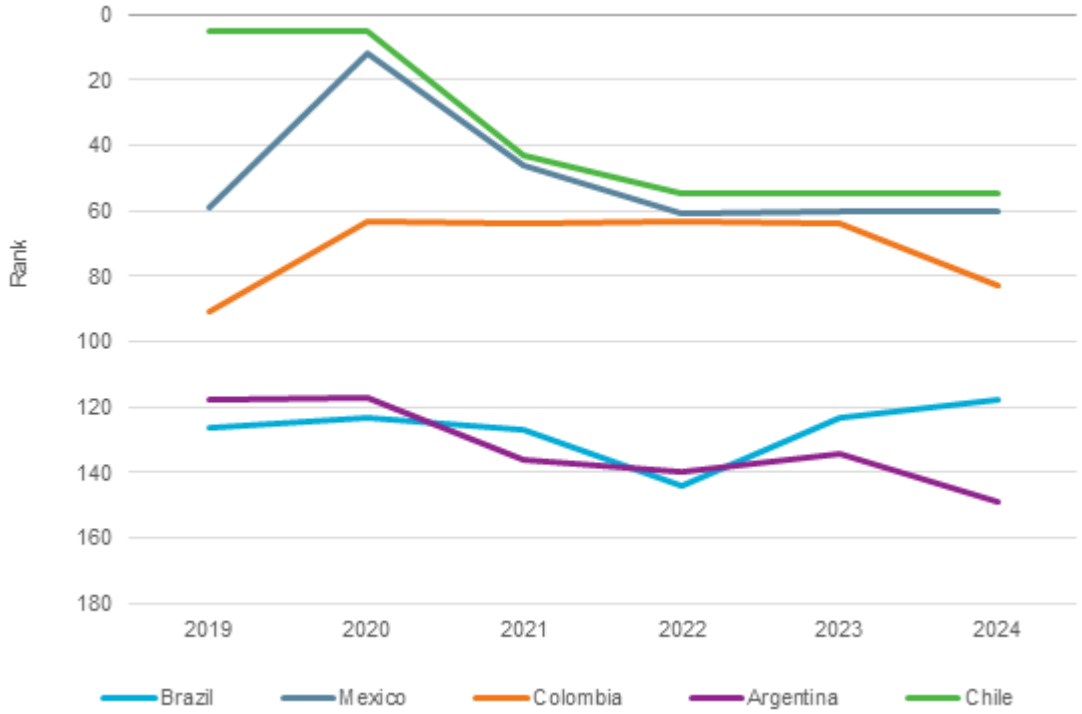


Note: Trade Freedom Pillar (Index of Economic Freedom) ranks 184 countries globally; freight traffic volume measured in million tonne-kilometres

Chart 25 Index of Economic Freedom: Trade Freedom Pillar Rank in Colombia and Regional Comparison 2019-2024

Source: Euromonitor International from The Heritage Foundation

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Note: Trade Freedom (Index of Economic Freedom) is a composite measure of the absence of tariff and non-tariff barriers that affect imports and exports of goods and services; it ranks a country out of 184 economies, see Appendix A

Chart 26 Colombia's Top Four Largest Export Categories 2019-2024

Source: Euromonitor International from trade sources/national statistics

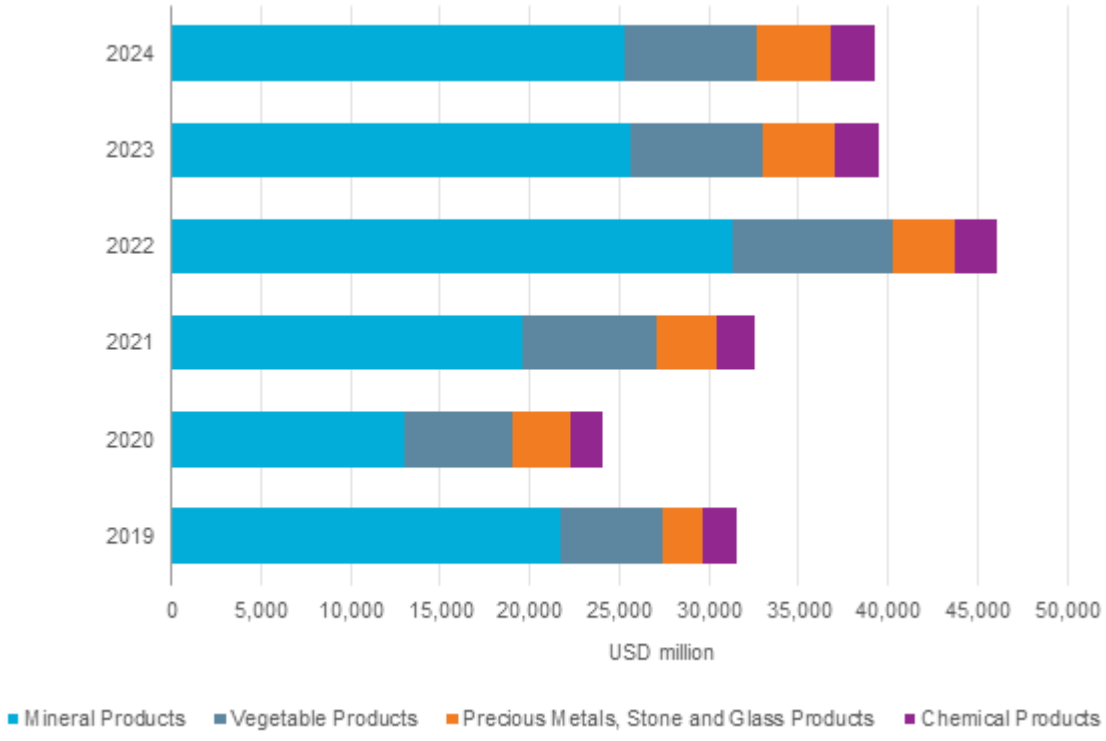
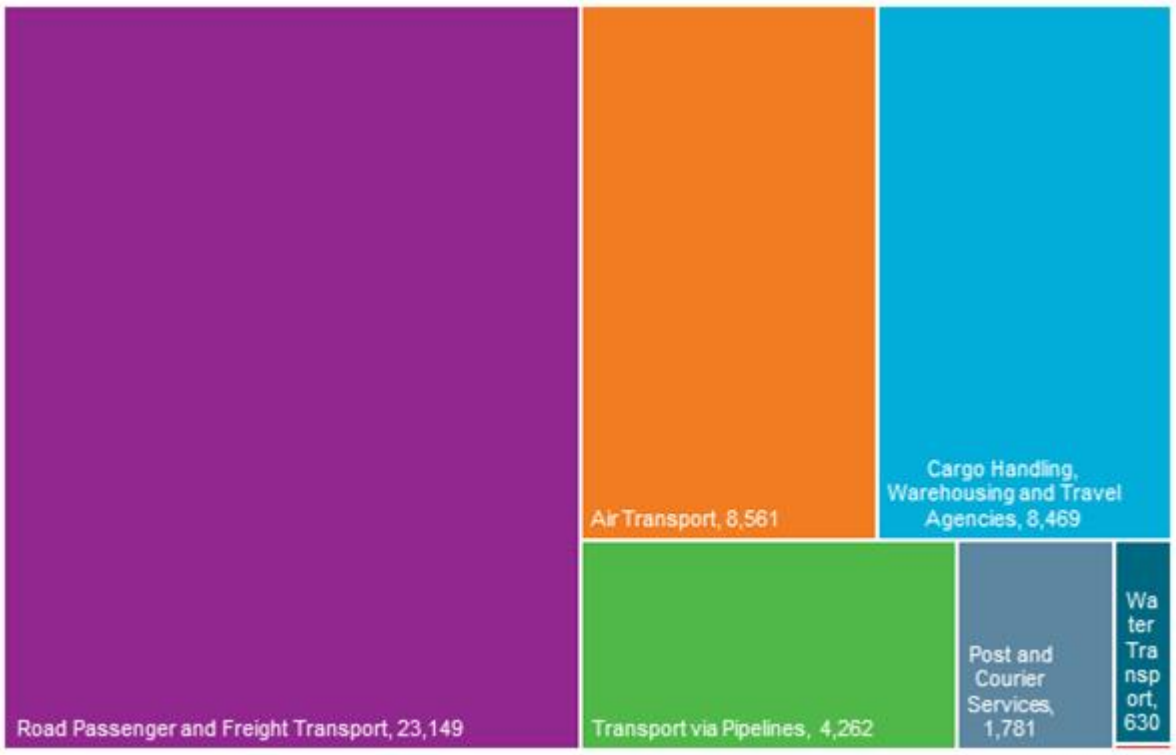


Chart 27 Turnover of Transport and Storage Industry by Category in Colombia 2024

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Source: Euromonitor International from trade sources/national statistics



Note: Production is in USD million

Chart 28 Transportation Mode Indicators in Colombia and Regional Comparison 2024

Source: Euromonitor International from International Road Federation (IRF)/International Union of Railways (IUC)/Eurostat/national statistics/UNCTAD

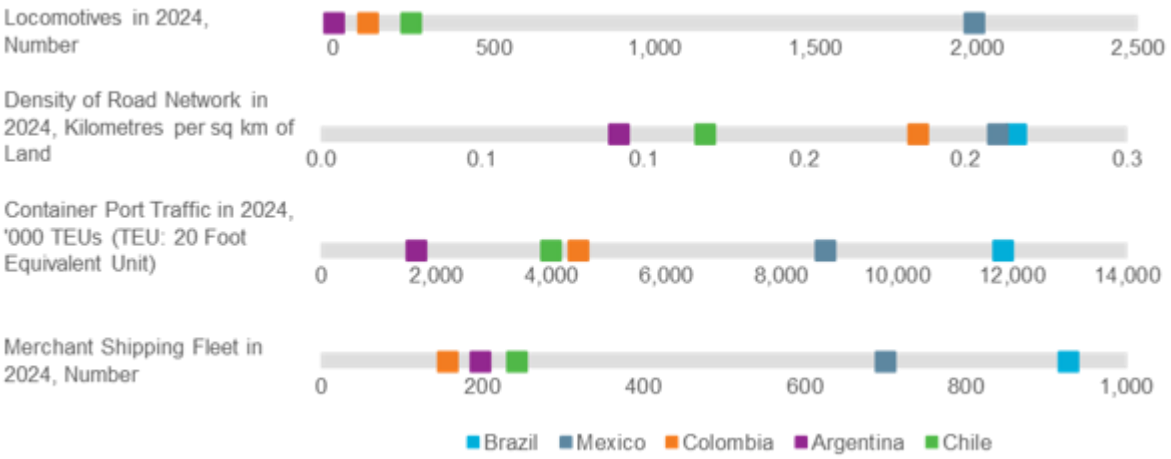
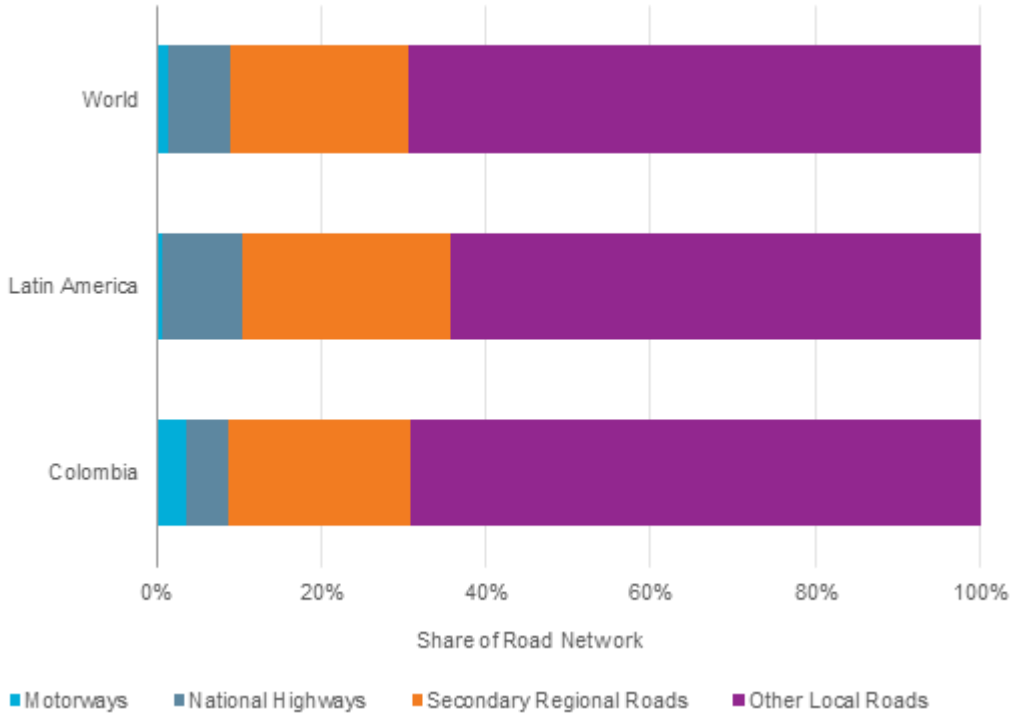


Chart 29 Road Infrastructure 2024

Source: Euromonitor International from International Road Federation (IRF)/Eurostat/national statistics

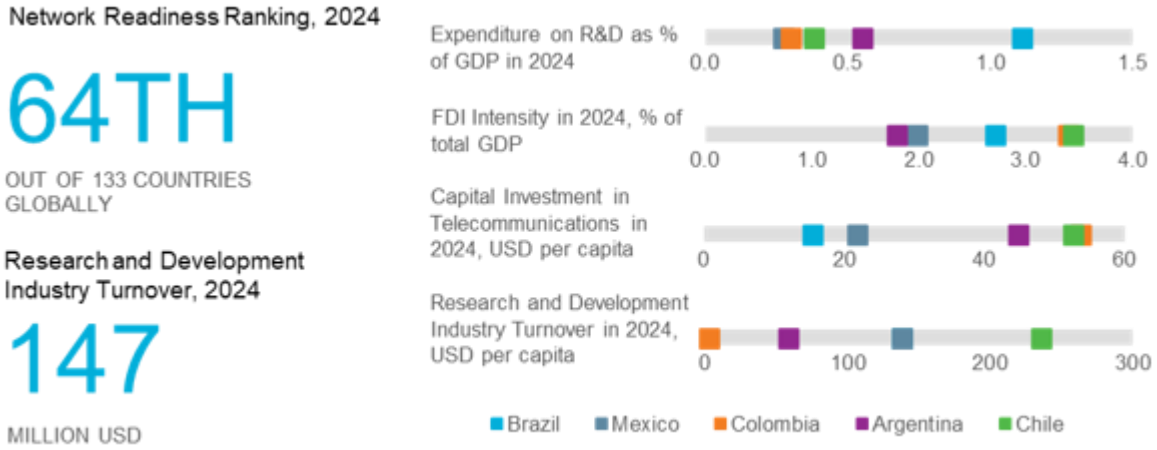
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DIGITALISATION and INNOVATION

Chart 30 Innovation and Digitalisation Key Indicators 2024

Source: Euromonitor International from Portulans Institute/UNESCO/Eurostat/UNCTAD/International Telecommunications Union/national statistics

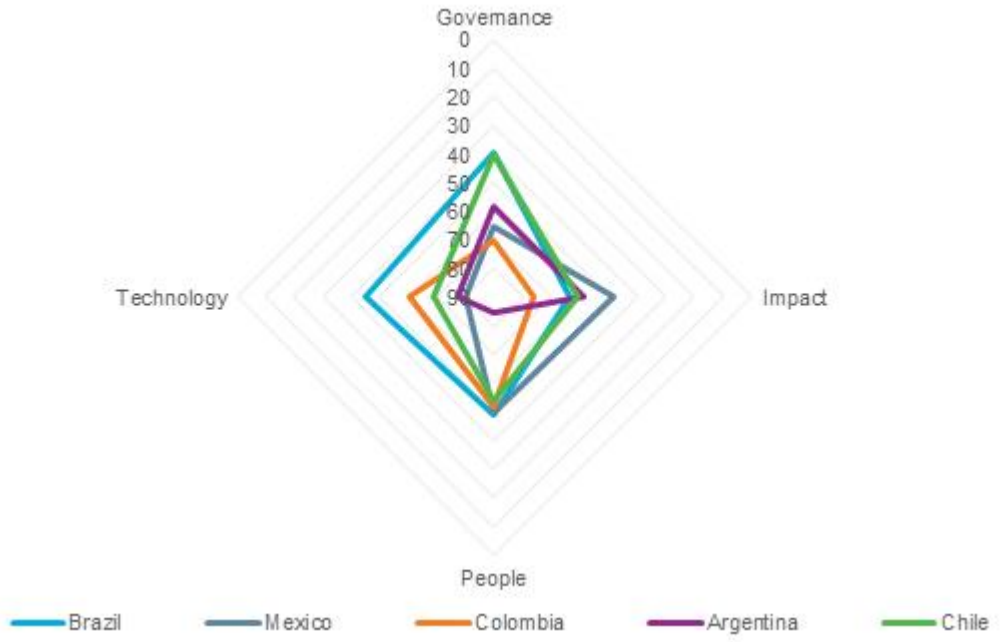


Note: Network Readiness Index 2024 ranks a total of 133 economies, see Appendix B

Chart 31 Network Readiness Ranking by Pillar in Colombia and Regional Comparison 2024

Source: Euromonitor International from Portulans Institute

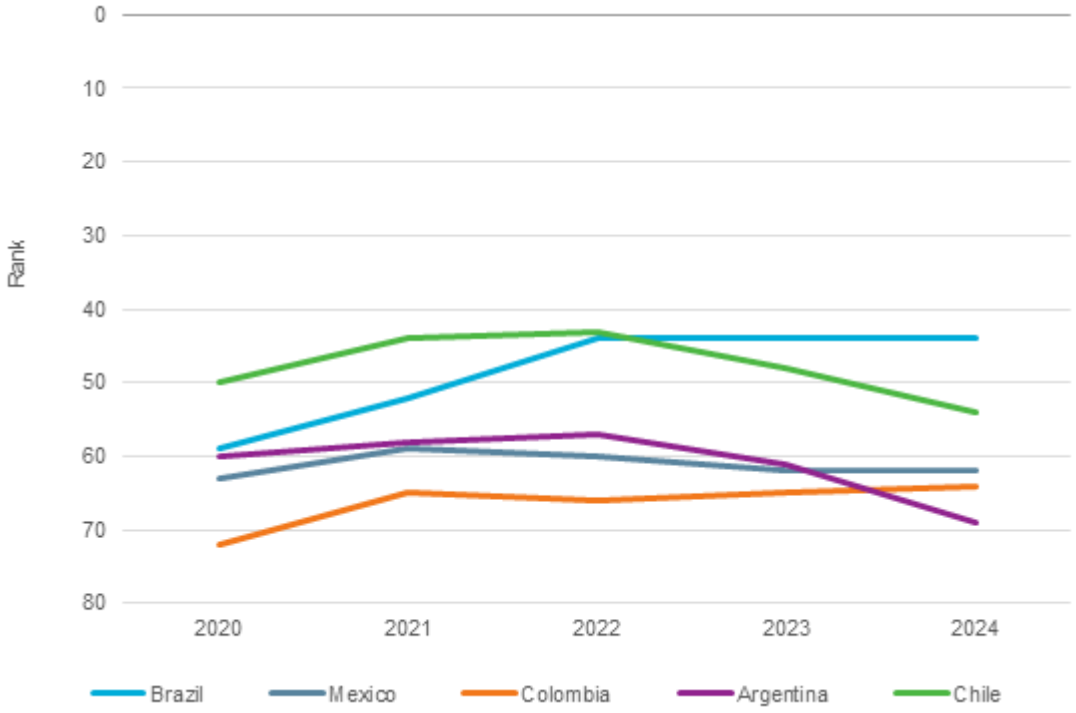
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Note: Network Readiness Index 2024 ranks a total of 133 economies, see Appendix B

Chart 32 Network Readiness Ranking for Colombia and Regional Comparison 2019-2024

Source: Euromonitor International from Portulans Institute

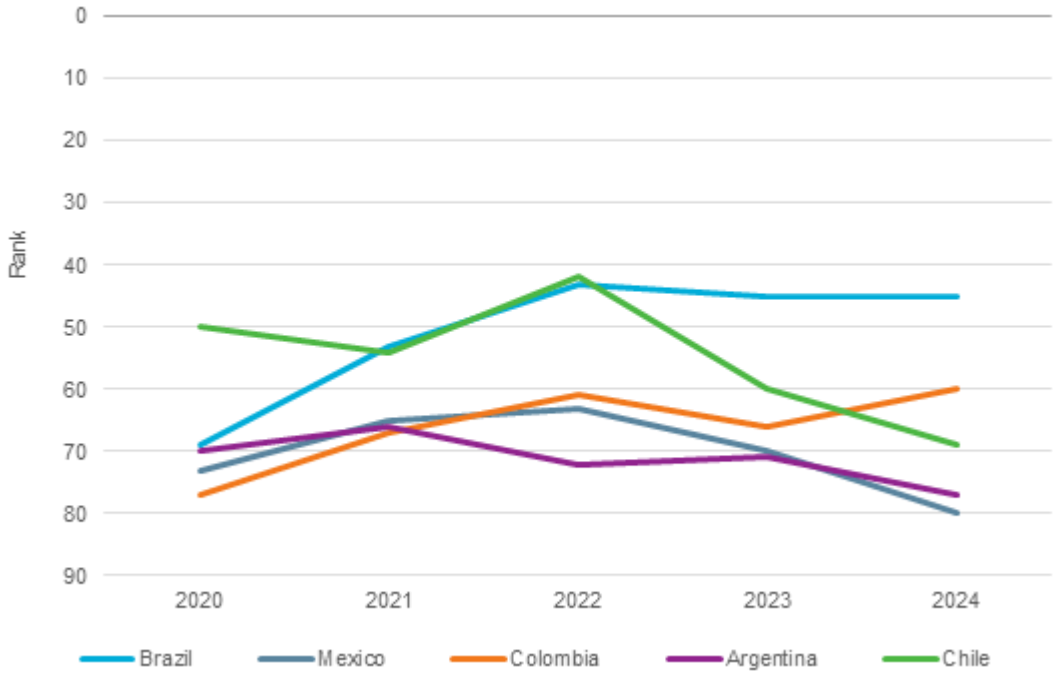


Note: Network Readiness Index 2024 ranks a total of 133 economies, see Appendix B

Chart 33 Network Readiness Ranking: Technology Pillar for Colombia and Regional Comparison 2019-2024

Source: Euromonitor International from Portulans Institute

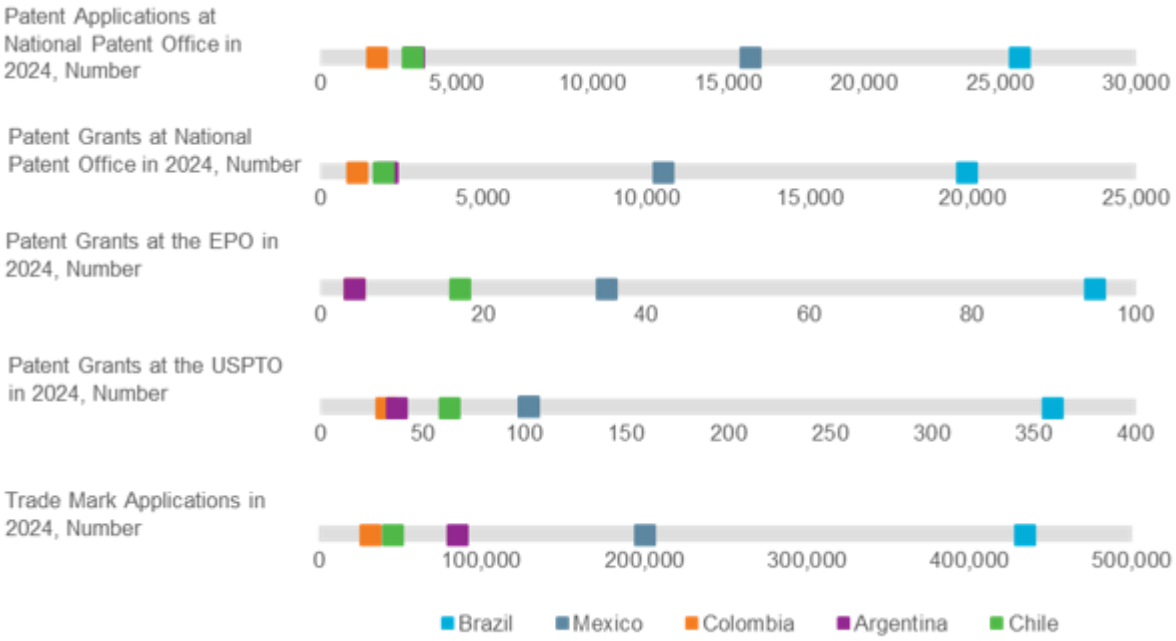
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Note: Technology Pillar (Network Readiness Ranking) measures the level of technology that is a sine qua non for a country's participation in the global economy out of 133 economies, see Appendix B

Chart 34 Intellectual Property: Colombia Compared to Selected Regional Peers 2024

Source: Euromonitor International from World Intellectual Property Organization (WIPO)/OECD/USPTO/EPO



APPENDIX A

The 2024 index of economic freedom

The 2024 Index of Economic Freedom is based on 10 quantitative and qualitative factors, grouped into four broad categories of economic freedom: Each of the 10 economic freedoms (referred to as pillars in this

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report) within these categories is graded on a scale of 0 to 100, where a higher score shows better economic freedom.

- Property Rights Ranking - The property rights component is an assessment of the ability of individuals to accumulate private property, secured by clear laws that are fully enforced by the state. It measures the degree to which a country's laws protect private property rights and the degree to which its government enforces those laws. It also assesses the likelihood that private property will be expropriated and analyses the independence of the judiciary, the existence of corruption within the judiciary and the ability of individuals and businesses to enforce contracts.
- Government Integrity Ranking - This component is derived primarily from Transparency International's Corruption Perceptions Index (CPI) for 2011, which measures the level of corruption in 180 countries. Ranking is obtained from the index reflecting better score in a higher position.
- Judicial Effectiveness Ranking - Judicial effectiveness requires efficient and fair judicial systems to ensure that laws are fully respected, with appropriate legal actions taken against violations. The score is derived from judicial independence, quality of the judicial process and likelihood of obtaining favourable judicial decisions.
- Government Spending Ranking - This component considers the level of government expenditure as a percentage of GDP. The ideal level will vary from country to country, depending on factors ranging from culture to geography to level of development.
- Fiscal Health Ranking - Widening deficits and a increasing debt burden, both of which are caused by poor government budget management, lead to the erosion of a country's overall fiscal health. Deteriorating fiscal health, in turn, is associated with macroeconomic instability and economic uncertainty.
- Tax Burden Ranking - Fiscal freedom is a measure of the tax burden imposed by government. It includes direct taxes, in terms of the top marginal tax rates on individual and corporate incomes, and overall taxes, including all forms of direct and indirect taxation at all levels of government, as a percentage of GDP. Thus, the fiscal freedom component is composed of the top marginal tax rate on individual income, the top marginal tax rate on corporate income, and the total tax burden as a percentage of GDP.
- Business Freedom Ranking - This is an overall indicator of the efficiency of government regulation of business. The quantitative score is derived from an array of measurements of the difficulty of starting, operating and closing a business.
- Labour Freedom Ranking - This is a quantitative measure that considers various aspects of the legal and regulatory framework of a country's labour market, including regulations concerning minimum wages, laws inhibiting layoffs, severance requirements and measurable regulatory constraints on hiring and hours worked.
- Monetary Freedom Ranking - This combines a measure of price stability with an assessment of price controls. Both inflation and price controls distort market activity. Price stability without microeconomic intervention is the ideal state for the free market.
- Trade Freedom Ranking - This is a composite measure of the absence of tariff and non-tariff barriers that affect imports and exports of goods and services. The trade freedom score is based on two inputs: The trade-weighted average tariff rate and non-tariff barriers (NTBs).
- Investment Freedom Ranking - In an economically free country, there would be no constraints on the flow of investment capital. Individuals and firms would be allowed to move their resources into and out of specific activities, both internally and across the country's borders, without restriction.
- Financial Freedom Ranking - This is a measure of banking efficiency as well as a measure of independence from government control and interference in the financial sector. State ownership of banks and other financial institutions such as insurers and capital markets reduce competition and generally lowers the level of available services. The Index scores an economy's financial freedom by

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looking into the following five broad areas: The extent of government regulation of financial services; the degree of state intervention in banks and other financial firms through direct and indirect ownership; the extent of financial and capital market development; government influence on the allocation of credit; and openness to foreign competition.

APPENDIX B

The network readiness index (nri) 2024

Network Readiness Ranking (NRR) is obtained from the Network Readiness Index (NRI). A high ranking reflects a high score in the index. The Network Readiness Index (NRI) provides a methodological framework that identifies the factors enabling national economies to fully benefit from information and communication technology (ICT) advances while highlighting the joint responsibility of all social actors, namely individuals, businesses and governments. The index is split into four main pillars:

- Technology Pillar Ranking seeks to assess the level of technology that is a sine qua non for a country's participation in the global economy. It consists of three sub-pillars: Access, Content and Future Technologies.
- People Pillar Ranking seeks to assess the availability and level of technology in a country and if its population and organisations have the access, resources and skills to use it productively. This pillar is therefore concerned with the application of ICT by people at three levels of analysis: Individuals, Businesses and Governments.
- Governance Pillar Ranking measures levels of trust, regulation and inclusion between market participants. Trust analyses how safe individuals and firms are in the context of the network economy. This does not only relate to actual crime and security, but also to perceptions of safety and privacy. Regulation measures the extent to which the government promotes participation in the network economy through regulation. Inclusion refers to digital divides within countries where governance can address issues such as inequality based on gender, disabilities and socioeconomic status.
- Impact Pillar Ranking seeks to assess the economic, social and human impact of participation in the network economy. It consists of Economy, Quality of Life and Sustainable Development Goals (SDG) Contribution sub-pillars.

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